



California Real Estate Practice Test

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Practice Questions

1. Trust funds under California law:

- A) are always the property of the broker.
- B) become the property of the seller after the close of escrow.
- C) are never the property of the broker.
- D) belong to the buyer unless delivered to the seller.

2. Trust fund records must be reconciled by the broker:

- A) daily.
- B) weekly.
- C) monthly.
- D) annually.

3. If a seller does not give a broker authorization to hold deposit money, then the broker accepts the deposit as:

- A) an agent for the buyer.
- B) an agent for the seller.
- C) a dual agent.
- D) a neutral escrow.

4. Advance fees are money paid to real estate licensees:

- A) as advances paid on commissions.
- B) in advance of the licensee performing services.
- C) as a bonus.
- D) for performing extra services that don't require a license.

5. Licensees are required to keep copies of documents involving transactions for which a license is required for a minimum of:

- A) 3 years.
- B) 4 years.
- C) 5 years.
- D) 10 years.

6. Acceptable methods of maintaining accounting records to track trust funds are:

- A) only manually produced records.
- B) only computerized records.
- C) either manually produced or computerized records.
- D) only records on CalDRE approved forms.

7. If a Transfer Disclosure Statement (TDS) is delivered to the buyer after execution of an offer, the buyer has a right to cancel:

- A) within 10 days after delivery.
- B) at any time prior to close of escrow.
- C) only if there is a non-disclosure of a material fact.
- D) within three days after delivery.

8. The party that typically pays for the installation of smoke detectors and water heater bracing in a residential sale is the:

- A) buyer.
- B) broker.
- C) government.
- D) seller.

9. If a property is a dwelling unit in a condominium, the agent's visual inspection duty includes:

- A) only the common areas.
- B) both the unit involved and the common areas.
- C) only the unit involved and not common areas.
- D) neither the unit involved nor the common areas.

10. A real estate licensee has a duty to deliver copies of any structural pest control reports:

- A) that exist.
- B) she has in her possession.
- C) that are on file with the Structural Pest Control Board.
- D) that she personally ordered.

11. Real estate professionals are not allowed to call consumers on the do-not-call list. However, an exception is for calls that are:

- A) made to a consumer who has had contact with the real estate professional within the last 90 days.
- B) made to a consumer who has had negotiations with the real estate professional within the last 18 months.
- C) made to a consumer that the real estate professional would like to do business with.
- D) personal and have nothing to do with the solicitation of a client.

12. Unsolicited email is federally controlled under CAN-SPAM. To be legal, it must:

- A) contain an option for a recipient to opt out of receiving the solicitations.
- B) be a one-time mailing and not a constant bombardment to the recipient.
- C) only be sent to recipients that have previously agreed to receive marketing emails from the sender.
- D) only be sent to a recipient list that has been bought from a company that specializes in selling lists.

13. Which of the following is TRUE of the CAN-SPAM Act of 2003?

- A) It forbids the sending of unsolicited bulk emails.
- B) It allows the sending of bulk emails only if the recipients are all showing as a carbon copy (cc) to the email.
- C) It allows bulk emails only if the recipient has previously signed up for them.
- D) None of these are true.

14. The 1968 court case where the U.S. Supreme Court held that the Civil Rights Act of 1866 applied to private properties barring racial discrimination is:

- A) Easton v. Strassburger.
- B) Love v. Love.
- C) Shelley v. Kraemer.
- D) Jones v. Mayer.

15. The federal Civil Rights Act of 1968 is enforced by which department?

- A) the EPA.
- B) the FBI.
- C) HUD.
- D) NAR.

16. A broker is required to exercise reasonable supervision over the activities of his salespersons, which includes:

- A) establishing rules and filing documents.
- B) handling trust funds, advertising services, and familiarizing salespersons on discrimination laws.
- C) all of these.
- D) merely having a written contract that states the responsibilities of the parties.

17. Under CalDRE rules, a broker is required to maintain copies of which of the following electronic documents?

- A) Pictures of listings
- B) Scripts of sales meetings
- C) Texts
- D) Appointment calendars

18. Solicitation materials intended to be a first point of contact with consumers include:

- A) business cards.
- B) For Sale signs.
- C) television ads.
- D) newspaper advertising.

19. An unlicensed assistant can perform which of the following activities at an open house without a real estate license?

- A) Show or exhibit the property
- B) Greet people
- C) Discuss terms and conditions of a possible sale
- D) Discuss the location of the property including describing the neighborhood or schools

20. The California Attorney General acts as CalDRE's:

- A) prosecutor for real estate law violations.
- B) national exam administrator.
- C) legal counsel.
- D) media spokesperson.

21. The California Department of Real Estate (CalDRE) has the authority to discipline:

- A) disciplines unlicensed individuals.
- B) can discipline anyone.
- C) can only discipline real estate licensees.
- D) can find monetary damages against real estate licensees.

22. The written employment agreement between a broker and an associate licensee must stipulate that:

- A) broker is not liable for the actions of the associate licensee.
- B) associate licensee can operate independently of the broker.
- C) broker and associate licensee are full and equal partners.
- D) broker is required to supervise the associate licensee.

23. Under DRE guidelines, an unlicensed assistant can legally:

- A) order structural pest control inspections.
- B) install signs.
- C) attend open houses.
- D) do any of these.

24. Which of the following is NOT a common violation of the California Real Estate Law?

- A) Misrepresentations
- B) Undisclosed dual agency
- C) Disparaging the business practice of a competitor
- D) Commingling

25. If the Department of Real Estate pays a consumer out of the Consumer Recovery Account, the real estate licensee's license will be suspended until the licensee:

- A) repays the amount in full.
- B) repays the amount in full plus 10% interest.
- C) repays the amount in full plus 10% interest and pays a fine.
- D) apologizes.

26. The type of property manager who lives on the property and does not require a real estate license is a:

- A) licensed property manager.
- B) a CPM.
- C) a resident manager.
- D) an IREM.

27. Which type of leasehold estate requires at least a 30-day notice to terminate?

- A) Estate for years
- B) Tenancy at sufferance
- C) Periodic tenancy
- D) Estate for 30 days

28. Which of the following lease contracts features rent that is adjusted at predetermined intervals?

- A) Graduated lease
- B) Percentage lease
- C) Index lease
- D) Net lease

29. A percentage lease would most commonly be used on which type of property?

- A) an industrial property.
- B) single family rental.
- C) a retail store.
- D) an office building.

30. Proposition 13 provides that real estate is initially taxed on the fair market value at the time of purchase at a maximum basic rate of:

- A) 1%.
- B) 2%.
- C) 5%.
- D) 10%.

31. Broker Davis of Apex Realty receives a check for \$(500) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

32. Broker Smith of Pacific Coast Brokerage receives a check for \$(1000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

33. Broker Johnson of Golden Valley Properties holds a buyer's check for \$(1500) and deposits it into the client trust account on the 4th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

34. Broker Brown of Redwood Homes holds a buyer's check for \$(2000) and deposits it into the client trust account on the 5th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

35. Broker Miller of Sunset Estates holds a buyer's check for \$(3000) and deposits it into the client trust account on the 6th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

36. Broker Garcia of Metro Dwellings receives a check for \$(4000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

37. Broker Rodriguez of Summit Brokerage receives a check for \$(5000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

38. Broker Martinez of Sierraland Homes holds a buyer's check for \$(7500) and deposits it into the client trust account on the 4th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

39. Broker Hernandez of Valley Heights Agency holds a buyer's check for \$(10000) and deposits it into the client trust account on the 5th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

40. Broker Lopez of Bayview Real Estate holds a buyer's check for \$(15000) and deposits it into the client trust account on the 6th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

41. Broker Gonzalez of Apex Realty receives a check for \$(500) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

42. Broker Wilson of Pacific Coast Brokerage receives a check for \$(1000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

43. Broker Anderson of Golden Valley Properties holds a buyer's check for \$(1500) and deposits it into the client trust account on the 4th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

44. Broker Thomas of Redwood Homes holds a buyer's check for \$(2000) and deposits it into the client trust account on the 5th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

45. Broker Taylor of Sunset Estates holds a buyer's check for \$(3000) and deposits it into the client trust account on the 6th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

46. Broker Moore of Metro Dwellings receives a check for \$(4000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

47. Broker Jackson of Summit Brokerage receives a check for \$(5000) as an earnest deposit. The broker places the deposit into escrow on the third business day. Which of the following is correct?

- A) The broker violated the 24-hour deposit rule.
- B) The broker committed commingling by holding the check.
- C) The broker is in compliance with the DRE 3-business-day rule.
- D) The broker is guilty of conversion.

48. Broker Martin of Sierraland Homes holds a buyer's check for \$(7500) and deposits it into the client trust account on the 4th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

49. Broker Lee of Valley Heights Agency holds a buyer's check for \$(10000) and deposits it into the client trust account on the 5th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

50. Broker Perez of Bayview Real Estate holds a buyer's check for \$(15000) and deposits it into the client trust account on the 6th business day. This delay constitutes:

- A) Commingling of funds.
- B) Illegal conversion of funds.
- C) A licensing violation of the DRE 3-business-day rule.
- D) A standard and acceptable escrow practice.

Answer Key & Explanations

Question 1: Correct Answer (C)

Explanation: Trust funds never belong to the broker. Either they are the property of the buyer or the property of the seller.

Question 2: Correct Answer (C)

Explanation: California DRE regulations require that broker trust fund records be reconciled with bank statements monthly.

Question 3: Correct Answer (A)

Explanation: The broker accepts the deposit as an agent for the buyer and is responsible to the buyer for the deposit until authorization is given.

Question 4: Correct Answer (B)

Explanation: Advance fees are fees paid to real estate professionals in advance of any services rendered and are legally treated as trust funds.

Question 5: Correct Answer (A)

Explanation: Under B&P Code 10148, licensees must keep transaction documents for 3 years from the close of escrow or the listing date if not closed.

Question 6: Correct Answer (C)

Explanation: Either manually-produced or computerized accounting records are acceptable to track trust funds under DRE regulations.

Question 7: Correct Answer (D)

Explanation: The buyer has a statutory right to cancel within three days from in-person delivery of a TDS that is received after the offer is signed.

Question 8: Correct Answer (D)

Explanation: Under California law, the seller typically pays for the installation of compliant smoke detectors and water heater bracing.

Question 9: Correct Answer (C)

Explanation: For condominiums or cooperative units, the agent's statutory visual inspection is limited to the interior of the unit, not common areas.

Question 10: Correct Answer (B)

Explanation: Licensees must deliver to the buyer copies of any structural pest control reports currently in their possession.

Question 11: Correct Answer (B)

Explanation: A licensee can call a consumer on the Do-Not-Call list if they have an established business relationship in the last 18 months.

Question 12: Correct Answer (A)

Explanation: The CAN-SPAM Act requires bulk commercial email senders to provide a clear, functional opt-out mechanism for recipients.

Question 13: Correct Answer (D)

Explanation: CAN-SPAM does not ban unsolicited bulk emails or require opt-in, but it does mandate honest subject lines, sender info, and a way to opt out.

Question 14: Correct Answer (D)

Explanation: Jones v. Mayer (1968) is the landmark Supreme Court decision holding that the Civil Rights Act of 1866 bars all racial discrimination in property transactions.

Question 15: Correct Answer (C)

Explanation: The Federal Civil Rights Act of 1968 (Fair Housing Act) is enforced by the Department of Housing and Urban Development (HUD).

Question 16: Correct Answer (C)

Explanation: Under CalDRE Commissioner's Regulation 2725, reasonable supervision covers trust funds, advertising, recordkeeping, and training on discrimination laws.

Question 17: Correct Answer (C)

Explanation: Transaction-related electronic communications (including emails, texts, and social media correspondence) must be retained by the broker.

Question 18: Correct Answer (A)

Explanation: First point of contact solicitation materials include business cards, stationery, websites, flyers, and brochures.

Question 19: Correct Answer (B)

Explanation: An unlicensed assistant can greet people, hand out brochures, and arrange appointments, but cannot show properties or negotiate terms.

Question 20: Correct Answer (C)

Explanation: The California Attorney General serves as the legal counsel for the Department of Real Estate (CalDRE) during formal hearings.

Question 21: Correct Answer (C)

Explanation: CalDRE holds jurisdiction to suspend or revoke licenses, but cannot discipline unlicensed individuals or award monetary civil damages.

Question 22: Correct Answer (D)

Explanation: The broker-associate agreement must explicitly state that the broker is responsible for supervising the activities of the salesperson.

Question 23: Correct Answer (D)

Explanation: With the broker's and principal's consent, unlicensed assistants can place signs, order inspections, greet visitors, and schedule meetings.

Question 24: Correct Answer (C)

Explanation: Disparaging a competitor violates the NAR Code of Ethics but is not a direct statutory violation of the California Real Estate Law.

Question 25: Correct Answer (B)

Explanation: The licensee's license is suspended immediately and cannot be reinstated until they reimburse the Recovery Account in full, plus 10% interest.

Question 26: Correct Answer (C)

Explanation: A resident manager (living on-site) is exempt from the license requirement under California law.

Question 27: Correct Answer (C)

Explanation: A periodic tenancy (e.g., month-to-month) requires a minimum 30-day notice to terminate from either party.

Question 28: Correct Answer (A)

Explanation: A graduated lease specifies rent adjustments (usually increases) at fixed future dates.

Question 29: Correct Answer (C)

Explanation: Percentage leases (rent based on a percentage of sales) are typical in commercial retail properties like shopping centers.

Question 30: Correct Answer (A)

Explanation: Under Proposition 13, the base annual property tax rate is capped at 1% of the property's purchase price value plus local voter-approved bonds.

Question 31: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 32: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 33: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 34: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 35: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 36: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 37: Correct Answer (C)

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Question 38: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 39: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 40: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 41: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 42: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 43: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 44: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 45: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 46: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 47: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 48: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 49: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.

Question 50: Correct Answer (C)

Explanation: Under DRE regulations, a broker must place trust funds into escrow, a trust account, or the principal's hands within 3 business days of receipt.